Micro Set 7. Monopolistic Competition & Oligopoly — Singapore Cafes and Telecommunications

Instructions. This booklet contains a single case study contrasting monopolistic competition with oligopoly, followed by six short-answer questions ranging from 2 to 6 marks.

Section Case Study. Singapore's Cafe Boom and the Telecommunications Triopoly

Table 1.1: Selected Market Indicators, 2019–2024

Indicator	2019	2020	2021	2022	2023	2024
Independent Cafes Operating (number)	1450	1380	1520	1640	1720	1810
New Cafe Openings (per year)	320	240	380	410	380	330
Cafe Closures (per year)	290	310	240	290	300	240
Mean Cafe Operating Profit Margin (%)	8.0	2.1	5.6	6.8	7.2	7.5
Singtel Mobile Market Share (%)	49.0	48.5	47.2	45.8	44.5	43.0
StarHub Mobile Market Share (%)	23.5	23.0	22.5	21.8	21.0	20.5
M1 Mobile Market Share (%)	24.0	23.5	22.8	22.0	21.5	21.0
MVNO Combined Market Share (%)	3.5	5.0	7.5	10.4	13.0	15.5
Avg Mobile Data Price, S$/GB	4.50	3.20	2.10	1.40	1.00	0.80

Source: Adapted from Infocomm Media Development Authority, IMDA Mobile Market Annual Report 2024, and Department of Statistics Singapore.

Extract 1.1: Two contrasting markets: cafes and mobile telecommunications

The cafe market: monopolistic competition. Singapore's independent cafe sector has grown rapidly over the past decade, with 1810 cafes operating in 2024 across the island, up from 1450 in 2019. Each cafe offers a differentiated product — specialty coffee blends, distinctive interior design, signature pastries, varied menus — but the products are sufficiently similar that consumers can substitute easily between them at modest switching cost. "We are competing not on coffee quality alone, which has converged across the market, but on atmosphere, location, social media presence, and brand identity," a Tiong Bahru cafe owner told The Business Times. "If a customer doesn't like our matcha latte, there are five competitors within a 10-minute walk."

Entry barriers are modest — approximately S$200000–400000 for a small-format cafe, recoverable in 18–36 months for a well-located outlet. New openings (320–410 per year) closely track closures (240–310 per year), keeping the total firm count in steady-state equilibrium. Mean operating profit margins fluctuate around 6–8 per cent, consistent with long-run normal profit in monopolistically competitive markets, although individual cafes earn substantially more or less depending on differentiation and location.

The Ministry of Trade and Industry notes that the sector exemplifies the trade-offs of monopolistic competition: "Product differentiation gives consumers variety and choice that perfect competition would not deliver. However, the equilibrium occurs at less than minimum average cost — excess capacity is the price of differentiation."

The mobile telecommunications market: oligopoly. Singapore's mobile market has long been dominated by three Mobile Network Operators (MNOs): Singtel, StarHub, and M1. Their combined market share remained above 96 per cent until 2018. The 2017–2018 entry of TPG Telecom (now Simba) and the subsequent licensing of Mobile Virtual Network Operators (MVNOs) such as Circles.Life, Giga!, and Zero1 has disrupted this concentration, with MVNO combined market share rising from 3.5 per cent (2019) to 15.5 per cent (2024).

The competitive dynamics are textbook oligopoly. "Each MNO's pricing decision is highly interdependent," an IMDA analyst observed. "If Singtel cuts mobile data prices, StarHub and M1 must respond within weeks — or risk losing subscribers en masse. If Singtel raises prices, neither rival follows, fearing market-share loss." The price war triggered by MVNO entry has reduced the average mobile data price from S$4.50/GB in 2019 to S$0.80/GB in 2024 — an 82 per cent decline. Yet the three MNOs continue to compete primarily on non-price factors: network coverage, 5G rollout speed, bundled services, and brand prestige.

"The Singapore mobile market shows both the consumer benefits and limits of oligopoly," the IMDA report observed. "Aggressive price competition has lowered consumer prices substantially, but the underlying market is still concentrated, and tacit coordination on non-price dimensions (e.g. rollover-data policies, family-plan structures) remains a regulatory watchpoint."

Source: Adapted from Infocomm Media Development Authority Mobile Market Annual Report 2024, Singtel/StarHub/M1 Annual Reports, and The Business Times, 19 March 2024.

Question 1 **[2 marks]**

With reference to Extract 1.1, identify two characteristics of the Singapore cafe market that make it monopolistically competitive.

Question 2 **[2 marks]**

Define "oligopoly" and identify two characteristics from Extract 1.1 that make the Singapore mobile telecommunications market one.

Question 3 **[4 marks]**

Using evidence from Extract 1.1, explain how product differentiation in the cafe market generates a downward-sloping demand curve for each cafe.

Question 4 **[4 marks]**

With reference to Extract 1.1, explain why oligopolists in the Singapore mobile market tend to "compete primarily on non-price factors."

Question 5 **[6 marks]**

With the aid of a kinked demand curve diagram, explain why a Mobile Network Operator (MNO) in the Singapore mobile market may keep prices stable despite changes in its marginal costs.

Question 6 **[6 marks]**

Using evidence from Extract 1.1, explain how the entry of Mobile Virtual Network Operators (MVNOs) has disrupted the pricing equilibrium in Singapore's mobile market.

End of Set 7 — Questions